

Subscription Agreement, reviewed before signing

CEDARPOINT HOLDINGS • DRAFT V4, SERIES B SUBSCRIPTION • READ
IN FULL AGAINST YOUR PRIOR DRAFTS AND THE AGREED TERMS

What it already did: read the full agreement line by line, set it next to the two earlier drafts and the term sheet you signed, and checked every figure and defined term against the exhibits. This is a second set of eyes, not legal advice. Your counsel still has the final word.

Bottom line

Three issues stand out. One is material and changes what you would actually receive. The other two are clean fixes. The recommendation is to send all three back to counsel before you sign.

The distribution waterfall in the agreement does not match the term sheet you agreed

MATERIAL

Section 6.2 places the new investors ahead of you in a way the signed terms did not

A defined term is used a full page before it is defined

WORTH FIXING

"Qualified Financing" appears in Section 3 but is not defined until Section 9

The indemnity has no cap

WORTH FIXING

Section 8.1 leaves your exposure open-ended where the term sheet implied a limit

Issues found

Five items, each with the clause, what is wrong, and the risk if it stands. Severity is marked on the right.

SECTION 6.2 • DISTRIBUTION WATERFALL

MATERIAL

The payout order does not match the signed term sheet

The term sheet placed a 1x non-participating preference for the Series B and then pro-rata to everyone. The drafted waterfall gives the Series B a 1x preference and a second participation tier before common and prior preferred recover anything.

Risk: in a moderate exit, you and the earlier holders receive materially less than the agreed terms intended. See the closer look below.

SECTION 4.1 VS EXHIBIT B

MATERIAL

The interest figure contradicts an earlier exhibit

Section 4.1 states the bridge note accrues at 6 percent per annum. Exhibit B, the note summary the same draft refers to, lists 8 percent. Both cannot be right.

Risk: on a roughly 4.0M bridge, the gap is near 80K of accrued interest a year, and an ambiguous rate is the kind of thing that gets argued at conversion.

SECTION 3.3 • DEFINITIONS

WORTH FIXING

A defined term is used before it is defined

"Qualified Financing" drives the conversion mechanics in Section 3 but is not defined until Section 9.4. A reader cannot tell what triggers conversion without jumping ahead, and the Section 9 definition is narrower than the term sheet's.

Risk: ambiguity over what counts as a Qualified Financing, which is exactly the threshold the conversion turns on.

SECTION 8.1 • INDEMNIFICATION

WORTH FIXING

No cap on indemnity

The company's indemnification obligation is drafted without a cap or a survival period. The term sheet referenced a cap at the purchase amount and a standard survival window. Neither made it into the draft.

Risk: open-ended exposure that sits on the company well past closing.

SECTION 7.2 • COUNTERPARTY NAME

MINOR

The signature block names the wrong entity

The body refers to "Cedarpoint Holdings, LLC" while the signature block reads "Cedarpoint Holding Co." The two names also appear inconsistently in the recitals.

Risk: minor, but a name mismatch on an executed document is a clean thing to fix now rather than after signing.

The one worth a closer look

The waterfall discrepancy is the one that changes the dollars. Here it is in plain terms.

The drafted waterfall pays the new investors twice before you recover, which the agreed terms did not allow.

You agreed a 1x non-participating preference for the Series B, then everyone shares pro-rata. The draft gives the Series B that 1x preference and then lets them participate again alongside common before the earlier holders are made whole. On a 60M exit, modeled against the cap table in Exhibit A, that single change shifts roughly 3.4M away from you and the prior preferred and toward the new money. The term sheet language is clear, so this reads as a drafting slip rather than a renegotiation, which is why it is worth correcting before signature rather than after.

Questions to send back

Specific and ready to send to counsel or the counterparty.

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- 01 Section 6.2: the waterfall gives the Series B a preference plus a second participation tier. The signed term sheet said **1x non-participating, then pro-rata**. Can you conform the waterfall to the term sheet?
 - 02 Section 4.1 lists the bridge note at **6 percent** while Exhibit B lists **8 percent**. Which is correct, and please align both.
 - 03 "Qualified Financing" is used in Section 3 but defined in Section 9.4, and the definition reads narrower than the term sheet. Can the definition move up and match the agreed threshold?
 - 04 Section 8.1 has no cap or survival period on indemnification. The term sheet referenced a cap at the purchase amount. Can you add the cap and a standard survival window?
 - 05 The entity name appears as both **Cedarpoint Holdings, LLC** and **Cedarpoint Holding Co**. Please confirm the correct legal name and conform the recitals and signature block.

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NAMES AND FIGURES ARE ILLUSTRATIVE; NOT LEGAL ADVICE